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Morning Note
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Tone: Mixed / Risk-Off

Nvidia's governance crisis has become an index event, and it lands the morning cash Treasuries reopen with the 10Y at 5%. The Wall Street Journal reported late Wednesday that Nvidia's board is preparing to oust CEO Jensen Huang, and the stock was down 7% pre-market per Reuters after closing up 2.87% at $173.73; CBS put the after hours low at $159.51. That undoes much of Wednesday's CoreWeave rally, when the S&P 500 rose 1.31% to 7,619.38, the Nasdaq 100 2.28% and the Philadelphia semiconductor index 5.66%. At 5:26 AM ET Nasdaq 100 futures were -0.63% and S&P futures -0.31%, while Dow futures were +0.09%, so this is a tech specific hit rather than a macro one. The macro backdrop is not offering a cushion: as cash Treasuries reopen after Veterans Day, the 2Y is up 3.4bp to about 4.77% and the 10Y is near 5.00%, per Bloomberg, with a December hike fully priced and about 15% odds of 50bp. Europe shows where the money is going, with the Stoxx 600 up 0.4% to a record even as Frankfurt listed Nvidia fell 7.4%. Today's tests are claims at 8:30 AM ET, a $25bn 30Y auction at 1:00 PM ET, six Fed speakers and Cisco and Applied Materials after the close, ahead of Friday's PPI.

OVERNIGHT MACRO

- **Asia:** The Nvidia report flipped the AI chain lower. Taiex -2.6% with TSMC -2.3%; Kospi -0.4% with SK Hynix -2.0% and Samsung +0.7%; Kioxia -4.6% and SoftBank -3.8%. Nikkei -0.70% to 60,819.36, Hang Seng -1.26% to 24,008.55 with Alibaba -6.76% and Tencent -2.64% on U.S. chip scrutiny, Shanghai Composite -0.67%, ASX 200 -0.1%. Japan October PPI rose 7.1% y/y against 6.5% expected.
- **Europe:** Stoxx 600 +0.4% to a record high by 3:37 AM ET, DAX +1.1%, CAC 40 +0.6%, FTSE 100 +0.3%, with semis and enterprise software lower and Frankfurt listed Nvidia -7.4%. UK Q3 GDP was due at 2:00 AM ET with consensus +0.7% q/q.
- **FX:** Dollar index closed Wednesday +0.65% at 102.90 and touched 102.97 overnight, its highest since April 2025. USD/JPY 159.82 from a 159.73 close, near the 160 level that preceded summer intervention, after Japan's Atsushi Mimura warned moves were too fast. EUR/USD 1.1077 from 1.1091.
- **Commodities:** Brent $92.29 (-0.51%) and WTI $86.09 (-0.51%) at 5:26 AM ET, after Wednesday closes of $92.63 (+1.25%) and $86.42 (+0.44%) when Iran said Hormuz will stay shut until its demands are met. Gold closed -0.89% at $3,994.30 and is lower again this morning; copper closed +0.75% at $6.27/lb.
- **U.S. Futures:** Nasdaq 100 futures -0.63%, S&P 500 futures -0.31%, Dow futures +0.09% at 5:26 AM ET. Pre-market per Reuters: Nvidia -7%, CoreWeave -7.2%, Nebius -4.7%, Intel, Marvell and Micron -2.6% to -3.4%. Wednesday close: S&P 500 +1.31% to 7,619.38, Nasdaq 100 +2.28% to 28,374.25, Dow +0.49% to 52,486.49, Russell 2000 +0.88% to 2,846.26, VIX -1.97 to 17.49.

RATES & CREDIT SNAPSHOT

Instrument	Level	Move	Note
2Y Treasury	4.56%	+5bp	Monday close (FRED). Tuesday close 4.73%; about 4.77% this morning, +3.4bp.
10Y Treasury	4.88%	+2bp	Monday close (FRED). Tuesday close 4.98%; near 5.00% this morning.
30Y Treasury	5.26%	0bp	Monday close (FRED). Tuesday close 5.35%; about 5.34% this morning. $25bn auction at 1:00 PM ET.
2s10s	25bp	-7bp	Tuesday print. About 23bp this morning as the 2Y leads.
10Y Breakeven	2.20%	-2bp	Tuesday print. Hikes are coming through real yields.

Cash Treasuries reopen after Wednesday's holiday and pick up where Tuesday's CPI selloff left off: the 2Y is up 3.4bp to about 4.77% while the 10Y is little changed near 5.00% and the 30Y is down 1.3bp to about 5.34%, so the bear flattener continues

with 2s10s near 23bp from 25bp at Tuesday's close. Rate traders price about 28bp of tightening for Dec 9, a full 25bp hike plus about a 15% chance of 50bp, and several banks have added January or March hikes. Fed speakers kept the pressure on during the holiday: Goolsbee called October CPI "borderline disturbing", Paulson said further gradual tightening "seems appropriate" and Logan wants two more 25bp moves. MOVE closed Tuesday at 92.43, +6.45. The 30Y auction at 1:00 PM ET is the first test of long end demand with the 10Y at 5%.

Meeting	Current Range	Market-Implied	Note
FOMC, Dec 8 to 9	3.75 to 4.00%	25bp fully priced; about 15% 50bp	CME FedWatch had 10.4% on 50bp at Wednesday's close. Six Fed speakers today.

Credit: IG OAS at 91bp, -2bp, and HY OAS at 334bp, -8bp (Monday close, FRED). HYG and JNK each rose 0.22% Wednesday on the CoreWeave rally. The Nvidia news hits the same AI infrastructure complex that drove the Nov 5 HY blowout, with CoreWeave -7.2% pre-market after its 24.71% jump, so watch whether Wednesday's tightening holds.

COMMODITIES & SECTOR TABLES

Commodity	Level	Chg	Note
Brent Crude	$92.63/bbl	+1.25%	Wednesday close; $92.29 at 5:26 AM ET. Iran says Hormuz stays shut
WTI Crude	$86.42/bbl	+0.44%	Wednesday close; $86.09 at 5:26 AM ET. EIA inventories at 12:00 PM ET
Gold	$3,994.30/oz	-0.89%	Wednesday close; back below $4,000 on real yields and the dollar
Copper	$6.27/lb	+0.75%	Wednesday close; -2.14% over the past week
Nat Gas	$3.25/MMBtu	-1.55%	Wednesday close; +9.67% over the past week

Wednesday was the AI chain's best day of the month. Technology rose 3.23% and every component of the Philadelphia semiconductor index was higher, led by ARM +12.05%, Micron +11.89%, Intel +7.46%, AMD +7.32% and Applied Materials +6.05%, with CoreWeave +24.71% to $60.77 on Q3 revenue of $3.661bn against about $3.54bn expected. Energy was second at +1.86% as Brent rose on Iran headlines, while Consumer Discretionary was the only sector lower at -0.05%. Overnight the leadership reverses: the Nvidia report is hitting the names that led Wednesday, and Alibaba fell 6.76% in Hong Kong on fears that chip export scrutiny tightens.

Sector / Name	Chg	Read
Technology (XLK)	+3.23%	Best sector Wednesday; at risk at the open
Energy (XLE)	+1.86%	Brent +1.25% on Iran headlines
Cons. Discretionary (XLY)	-0.05%	Only sector lower
Nvidia	+2.87% / -7% pre	$173.73 close; WSJ reports board preparing to oust Huang
CoreWeave	+24.71% / -7.2% pre	Q3 revenue $3.661bn; FY guide raised to $13.0bn to $13.3bn
Micron / ARM	+11.89% / +12.05%	Led the semis rally; chips -2.6% to -3.4% pre-market
Alibaba (Hong Kong)	-6.76%	U.S. chip scrutiny; reports next week

EQUITY SETUP

The open is a tech problem, not a market problem: Nasdaq 100 futures -0.63% against a Dow up 0.09% at 5:26 AM ET, and the Stoxx 600 is at a record. Nvidia, down 7% pre-market, has lost more than $450bn of market value since its board opened an

investigation into Huang on Nov 8, per CBS, and per Bloomberg the board is working with an outside firm on candidates and weighing a temporary chief. No company statement had been reported at publication. The second order risk is policy: China urged the U.S. not to use the scandal as a pretext to tighten chip exports, and lawmakers are pressing on Nvidia's China sales, which is why Alibaba and Tencent fell in Hong Kong.

The rest of the AI chain has fundamental support from CoreWeave and OpenAI's reported $10bn quarter, so the question for today is whether investors separate the Nvidia key man risk from the AI capex cycle. Applied Materials and Cisco after the close are the next reads on that cycle, and Nebius reports before the open. The rates channel limits the upside either way: with the 10Y near 5.00%, a 30Y auction at 1:00 PM ET and Friday's PPI deciding whether 50bp gets priced, a rebound in long duration tech needs earnings, not multiple expansion. Anthropic prices its IPO Nov 18 and debuts Nov 19, another test of how much AI paper the market can absorb.

ONE THEME

The AI trade lost its Fed put and is now testing its key man. For most of this cycle, AI equities could lean on two supports: falling yields and a single bellwether whose leadership nobody questioned. Both are gone this week. The 2Y is near 4.77% with a December hike fully priced and about 15% odds of 50bp, and Nvidia's board is reportedly preparing to remove the CEO who built the company. Wednesday showed the cycle itself is intact, with CoreWeave +24.71% and every semiconductor in the SOX higher, but Thursday shows how concentrated the risk is: one governance story moved Nasdaq futures 0.63% lower, the Taiex 2.6% and Alibaba 6.76%, while the Stoxx 600 made a record and Dow futures held flat. The dollar at its highest since April 2025 and the yen near 160 confirm the macro side is tightening, not easing. Until the Nvidia leadership question resolves, the market is likely to reward AI exposure through the capex suppliers with visible orders over the index leader, and to keep paying for non tech earnings in Europe.

EVENTS TO WATCH

- **8:30 AM ET Initial Jobless Claims:** Consensus 194k vs 189k prior.
- **9:00 AM ET Fed's Hammack:** Cleveland Fed President.
- **10:00 AM ET Existing Home Sales:** October, consensus 3.85mn vs 3.99mn prior. Fed Governor Barr also speaks, on AI and inequality.
- **11:15 AM ET Fed's Goolsbee:** Called October CPI "borderline disturbing" this week.
- **12:00 PM ET EIA Crude Inventories:** Delayed by the holiday; industry data showed a 9mn barrel build.
- **1:00 PM ET 30Y Bond Auction:** $25bn. Daly at 1:10 PM ET and Schmid at 1:30 PM ET.
- **2:00 PM ET Federal Budget:** October balance. Lagarde speaks in Paris at 2:30 PM ET; Williams on a panel at 6:30 PM ET.
- **Earnings:** Before the open: Nebius, Brookfield. After the close: Cisco, Applied Materials. Intuitive Machines also reports.
- **Ahead:** Fri 8:30 AM ET October PPI. Nvidia reports Nov 17; FOMC minutes Nov 18; Anthropic prices Nov 18 and lists Nov 19. FOMC decision Dec 9.
- **Key risks:** A leadership change at Nvidia without a clear successor, or new chip export restrictions tied to the scandal. A weak 30Y auction pushing the 10Y through 5%. A hot PPI moving 50bp from about 15% toward a coin flip. Iran's Hormuz stance lifting Brent back toward $100.